

Supreme Housing Finance Limited

September 30, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	425.00	CARE BBB; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Reaffirmation of long-term rating to bank facilities of Supreme Housing Finance Limited (Supreme HFL) continues to derive strength from the promoter with commitment to infuse capital of ₹50 crore in FY27, when needed. At present, the company's capitalisation profile is comfortable for current scale of operations. The company's earnings profile remained adequate in FY26 and Q1FY27, however, with lower business traction operating expense ratio has increased and prolonged slowdown or asset quality deterioration could impact its earnings. CARE Ratings Limited (CareEdge Ratings) also takes note of the change in the company's management team, which is expected to support portfolio expansion.

On the contrary, the rating also considers its limited portfolio seasoning and geographically concentrated operations in Madhya Pradesh, accounting for 80% of the overall loan book as on March 31, 2026. CareEdge Ratings also notes increase in softer bucket delinquencies of the company's book, which could slip further to harder bucket, given the relatively vulnerable borrower segment and lead to an increase in gross non-performing assets (GNPA) and credit cost.

CareEdge Ratings notes that Supreme HFL witnessed moderation in its business performance in the last few quarters with no disbursements between January 2026 and July 2026 and limited external debt traction in FY26 and YTD FY27. The same was considering the management's decision to transition from micro-housing finance segment towards affordable housing finance segment (relatively higher ticket size segment), where it has resumed disbursements from August 2026. As part of this business transition strategy, the company has seen higher attrition at ground staff and management level; the company has also onboarded management personnel with experience in affordable housing finance segment, to manage the new segment. The company's ability to gain sustained momentum and achieve meaningful business traction will remain key monitorable.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors

- Significant growth in scale, while maintaining profitability and GNPA below 1.5%.
- Significant improvement in its tangible net worth for further business growth.

Negative factors

- Deterioration in profitability and/or asset quality parameters with GNPA ratio above 3%.
- Prolonged slowdown in business traction leading to sustained decline in scale of operations.
- Overall gearing exceeding 4x.
- Significant rise in asset-liability maturity (ALM) negative mismatches.

Analytical approach: Standalone

Outlook: Stable

The 'Stable' outlook for long-term instruments of Supreme HFL factors in its track record and reflects the expectation that the company will be able to gain adequate business traction, supported by its experienced management and team. Outlook also reflects CareEdge Ratings' expectation that company will be able to maintain adequate and stable profitability.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Detailed description of key rating drivers

Key strengths

Comfortable capitalisation and low gearing levels

Supreme HFL's capitalisation profile remained comfortable with capital adequacy ratio (CAR) and Tier-I CAR of 102.39% and 101.40%, respectively, as on March 31, 2026 (PY: 79.22% and 78.58%), which further improved to 105.78% and 105.21%, respectively, as on June 30, 2026. The gearing level stood at 1.31x as on March 31, 2026 (1.17x as on June 30, 2026), against 1.81x as on March 31, 2025; reduction in gearing considering reduced business traction. The management expects additional capital support of ~₹50 crore from its holding company in near future. The comfortable capitalisation profile is expected to provide adequate headroom to support the company's growth plans in the medium term.

Adequate profitability

Supreme HFL's profitability remained adequate as it reported net profit of ₹19.21 crore in FY26, translating to return on average total assets (ROTA) of 3.08% and return on average tangible net worth (RONW) of 8.02%, against ₹28.13 crore, 4.78% and 13.72%, respectively, in FY25. In Q1FY27, it reported a profit after taxation (PAT) of ₹3.21 crore. The moderation in its returns was on account increase in opex ratio from 6.35% in FY25 to 8.37% in FY26, considering business slowdown. It maintained a healthy net interest margin (NIM) of 11.92% in relation to average total assets (ATA; 10.78% in FY25) and contained credit cost at 0.10% (0.20% in FY25), which has helped maintain an overall healthy profitability. However, prolonged slowdown or asset quality deterioration could impact its' earnings.

Key weaknesses

Moderation in scale and transition into new product segment

The company undertook a strategic shift from loans with ticket sizes of ₹1-10 lakh to ₹10-50 lakh. As part of the transition, fresh disbursements were largely paused for around seven months while the company recalibrated its underwriting, sourcing, and risk management framework. Consequently, business growth remained subdued, with assets under management (AUM) declining from ₹576 crore as on March 31, 2025, to ₹570 crore as on March 31, 2026, and further to ₹546 crore as on June 30, 2026. Although the company resumed disbursements from August 2026 under the revised lending model, cumulative disbursements remain modest at ~₹80 lakh in August 2026 and ₹4.42 crore as on September 26, 2026. The affordable lending portfolio is at an early stage of build-up. The company's ability to establish a meaningful scale in the affordable lending segment while maintaining asset quality and profitability will remain a key monitorable.

The company has maintained adequate asset quality indicators thus far. Its GNPA and net NPA (NNPA) ratios increased to 1.72% and 1.41%, respectively, as on March 31, 2026, from 1.43% and 1.09%, respectively, as on March 31, 2025, and further moderated to 2.00% and 1.63%, respectively, as on June 30, 2026. The deterioration was primarily considering increased slippages and degrowth in the loan book. CareEdge Ratings also notes increase in softer bucket delinquencies of the company's book, which could slip further to harder bucket, given relatively vulnerable borrower segment and lead to an increase in GNPA and credit cost.

Geographically concentrated operations

The company operates through a network of 59 branches across five states, with a significant geographical concentration in Madhya Pradesh, which accounted for ~80% of the AUM as on March 31, 2026, followed by Rajasthan (12%), Haryana (7%), and the remaining exposure in Delhi and Uttarakhand. While the portfolio remains geographically concentrated, the company, as part of its revised strategy towards higher-ticket affordable lending, intends to increase its presence and manpower in Delhi-NCR, Haryana, and Rajasthan markets. Fresh disbursement is largely coming from these geographies. The company's ability to diversify its geographical profile while maintaining portfolio quality and achieving the envisaged business growth will remain a key monitorable.

Concentrated resource profile and limited resource mobilisation

The company's borrowing profile consists entirely of term loans. As on March 31, 2026, it maintained relationships with 16 plus lenders, comprising public sector banks (14% of borrowings), private sector banks (25%), financial institutions (44%), and the National Housing Bank (17%). In line with the subdued disbursement levels witnessed during the transition period, the company's borrowings declined by 21% year-on-year (y-o-y) to ₹329.52 crore as on March 31, 2026, from ₹415.40 crore as on March 31, 2025, and further moderated to ₹295.87 crore as on June 30, 2026. Going forward, the company's ability to maintain lender relationships, diversify its funding profile in line with business growth, and mobilise borrowings at competitive rates to support the scale-up of the affordable lending portfolio will remain important from a credit perspective.

Liquidity: Adequate

Per ALM dated June 30, 2026, the company has positive cumulative mismatches across all time buckets. Its on-book liquidity stood at ₹49.9 crore as on June 30, 2026, with repayment of ₹118.4 crore due in the next one year and scheduled collections of ₹71.66 crore during same period. Its collection efficiency (including overdue recoveries³) was ~91.04% in Q1FY27. A material deterioration in its collection efficiency could impact its liquidity profile.

Applicable criteria
[Definition of Default](#)
[Rating Outlook and Rating Watch](#)
[Financial Ratios - Financial Sector](#)
[Housing Finance Companies](#)
About the company and industry**Industry classification**

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Housing finance company

Incorporated in October 2014, Supreme HFL received Housing Finance Company license in 2015 and commenced operations in 2016. The company has loan book of ₹569.8 crore as on March 31, 2026, and has presence in Madhya Pradesh, Rajasthan, Uttarakhand, Haryana, and Delhi. As on March 31, 2026, 92% of loan outstanding was from home loans and 8% from loan against property. Supreme HFL is owned by Supreme Securities Limited, with 92.39% equity stake. It deals in inward and outward remittances.

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	June 30, 2026 (UA)
Total income	120.62	121.62	27.42
Profit after tax (PAT)	28.13	19.21	3.21
Assets under management (AUM)	576.19	569.80	546.35
On-book gearing (x)	1.81	1.32	1.17
AUM / tangible net-worth (TNW) (x)	2.51	2.29	2.17
Gross non-performing assets (NPA) / gross stage 3 (%)	1.43	1.72	2.00
Return on managed assets (ROMA) (%)	4.78	3.08	2.24
Capital adequacy ratio (CAR) (%)	79.22	102.39	105.78

A: Audited; UA: Unaudited; Note: These are latest available financial results.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1.

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

³ Collection efficiency (including overdue recoveries) = {(Current collection + overdue recovery) / current month demand}

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based - LT-Term Loan	RBI	Simple	-	-	-	30-06-2029	425.00	CARE BBB; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Debentures-Non-Convertible Debentures	LT	-	-	-	1)Withdrawn (08-Jul-25)	1)CARE BBB; Stable (05-Jul-24)	1)CARE BBB; Stable (17-Oct-23)
2	Fund-based - LT-Term Loan	LT	425.00	CARE BBB; Stable	-	1)CARE BBB; Stable (08-Jul-25)	1)CARE BBB; Stable (05-Jul-24)	1)CARE BBB; Stable (17-Oct-23)

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact Mradul Mishra Director CARE Ratings Limited Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in Relationship Contact Pradeep Kumar V Senior Director CARE Ratings Limited Phone: 044-28501001 E-mail: pradeep.kumar@careedge.in	Analytical Contacts Priyesh Ruparelia Director CARE Ratings Limited Phone: 022-67543593 E-mail: Priyesh.ruparelia@careedge.in Jatin Arora Associate Director CARE Ratings Limited Phone: 120-4452000 E-mail: Jatin.arora@careedge.in Jaya Gupta Analyst CARE Ratings Limited E-mail: jaya.gupta@careedge.in
--	---

About us:

Established in 1993, CareEdge Ratings is one of the leading credit rating agencies in India. Registered under the Securities and Exchange Board of India, it has been acknowledged as an External Credit Assessment Institution by the Reserve Bank of India. With an equitable position in the Indian capital market, CareEdge Ratings provides a wide array of credit rating services that help corporates raise capital and enable investors to make informed decisions. With an established track record of rating companies over almost three decades, CareEdge Ratings follows a robust and transparent rating process that leverages its domain and analytical expertise, backed by the methodologies congruent with the international best practices. CareEdge Ratings has played a pivotal role in developing bank debt and capital market instruments, including commercial papers, corporate bonds and debentures, and structured credit. For more information: www.careratings.com

Disclaimer:

This disclaimer pertains to the ratings issued and content published by CARE Ratings Limited ("CareEdge Ratings"). Ratings are opinions on the likelihood of timely payment of the obligations under the rated instrument and are not recommendations to sanction, renew, disburse, or recall the concerned bank facilities or to buy, sell, or hold any security. Any opinions expressed herein are in good faith and are subject to change without notice. The rating reflects the opinions as on the date of the rating. A rating does not convey suitability or price for the investor. The rating agency does not conduct an audit on the rated entity or an independent verification of any information it receives and/or relies on for the rating exercise. CareEdge Ratings has based its ratings/outlook on the information obtained from reliable and credible sources. CareEdge Ratings does not, however, guarantee the accuracy, adequacy, or completeness of any information and is not responsible for any errors or omissions and the results obtained from the use of such information. The users of the rating should rely on their own judgment and may take professional advice while using the rating in any way. CareEdge Ratings shall not be liable for any losses that user may incur or any financial liability whatsoever to the user of the rating. The use or access of the rating does not create a client relationship between CareEdge Ratings and the user.

CAREEDGE RATINGS DISCLAIMS WARRANTY OF ANY KIND, EXPRESS, IMPLIED OR OTHER WARRANTIES OR CONDITIONS, TO THE EXTENT PERMITTED BY APPLICABLE LAWS, INCLUDING WARRANTIES OF MERCHANTABILITY, ACCURACY, COMPLETENESS, ERROR-FREE, NON-INFRINGEMENT, NON-INTERRUPTION, SATISFACTORY QUALITY, FITNESS FOR A PARTICULAR PURPOSE OR INTENDED USAGE.

Most entities whose bank facilities/instruments are rated by CareEdge Ratings have paid a credit rating fee, based on the amount and type of bank facilities/instruments. CareEdge Ratings or its subsidiaries/associates may also be involved with other commercial transactions with the entity. CareEdge Ratings does not act as a fiduciary by providing the rating. The ratings are intended for use only within the jurisdiction of India. The ratings of CareEdge Ratings do not factor in any rating-related trigger clauses as per the terms of the facilities/instruments, which may involve acceleration of payments in case of rating downgrades. However, if any such clauses are introduced and triggered, the ratings may see volatility and sharp downgrades. CareEdge Ratings has established policies and procedures as required under applicable laws and regulations which are available on its website.

Privacy Policy applies. For Privacy Policy please refer to https://www.careratings.com/privacy_policy

© 2026, CARE Ratings Limited. All Rights Reserved.

This content is being published for the purpose of dissemination of information required as per applicable law and regulations and CARE Ratings Limited holds exclusive copyright over the same. Any reproduction, retransmission, modification, derivative works or use or reference to the contents, in whole, in part or in any form, is prohibited except with prior express written consent from CARE Ratings Limited.

**For detailed Rating Report and subscription information,
please visit www.careratings.com**